

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 21-04

Greatway Logistics Group, LLC
Complainant

v.

Ocean Network Express, Pte., Ltd.,
Respondent.

**OCEAN NETWORK EXPRESS, PTE. LTD.'S RESPONSE TO BUREAU OF
ENFORCEMENT'S MOTION FOR LEAVE TO INTERVENE**

Respondent Ocean Network Express Pte. Ltd. ("ONE") files this response in opposition to the Bureau of Enforcement's ("BOE") motion for leave to intervene in this proceeding, and respectfully shows as follows:

**I.
Introduction**

BOE's request for intervention is unprecedented in its scope, extending well beyond any degree of participation that it has previously been granted under the Shipping Act of 1984. This is a straightforward case arising from a single lawsuit. Participation by BOE would substantially expand and delay the proceeding, imposing an extreme burden on ONE. Moreover, there would be no benefit to BOE's intervention, given that the Presiding Officer is already well versed in the subject matter, having written the two leading Initial Decisions on unjust or unreasonable practices since the Federal Maritime Commission issued its interpretive rule in 2018.

**II.
Underlying Factual Background**

This proceeding arises from a single lawsuit regarding unpaid demurrage and storage charges that accrued under two ONE bills of lading.

During October and November 2018, ONE transported two shipments of pine plywood from Brazil to Houston, Texas. The first shipment was transported under ONE bill of lading No. ONEYSAOU240004000. The second shipment was transported under ONE bill of lading No. ONEYSAOU24596300. Both shipments of cargo safely arrived from their voyages to Houston on November 6, 2018, and November 15, 2018, respectively. The consignee on both bills of lading was Pacific Lumber Resources, Inc. (“Pacific Lumber”). Complainant, Greatway Logistics Group, LLC (“Greatway”) was identified as the Notify Party for Bill of Lading ONEYSAOU24000400.

In early November 2018, prior to the physical arrival of the shipments in Houston, Greatway submitted paperwork, and upon information and belief, paid the import duties to obtain clearance for the shipments under both bills of lading into the United States from U.S. Customs & Border Protection.

Upon information and belief, a dispute arose between Pacific Lumber and its counterparts in Brazil related to the payment for the purchase/sale of the cargos. In early December 2018, ONE and Greatway received a request from the shippers to modify both bills of lading and change the consignee. Greatway advised that the cargo had already been nationalized into the United States in “another” consignee’s name and characterized the request as a “serious problem.” It was subsequently clarified that the cargo had been nationalized in Pacific Lumber’s name, but Greatway advised that it would not allow changes to the bills of lading.

Meanwhile, ONE had not yet received the earned freight under either of the bills of lading, the free time had expired for both shipments, and the cargo was accruing demurrage and storage charges on a daily basis. All parties involved in the underlying events were aware of the mounting charges. On January 17, 2019, ONE received payment of the earned freight, and released the shipments to Pacific Lumber. ONE subsequently paid the storage charges levied by the Port of

Houston for both shipments. However, the accrued demurrage and storage charges were not paid to ONE by anyone.

May 18, 2020, ONE commenced suit in the United States District Court for the Southern District of Texas, Houston Division, to recover the unpaid demurrage and storage charges from the Bills of Lading (the “Texas Litigation”). ONE sued: the consignee, Pacific Lumber; the respective shippers, Evolution Comercial Exportadora Ltda. and South Service Trading, S.A.; the notify party, Greatway; and the booking agent, AGL Transportes Internacionais Ltda-EPP and AGL Cargo LLC (collectively “AGL”). ONE alleged the defendants were jointly and severally liable for the accrued charges, pursuant to the “Merchant” clause in both bills of lading.¹

Greatway appeared and answered in the Texas Litigation, along with Pacific Lumber and AGL. After limited discovery, ONE reached confidential settlements with Pacific Lumber and AGL, and voluntarily dismissed its claims against the other defendants including Greatway.

On May 25, 2021—the same day that ONE moved to voluntarily dismiss Greatway in the Texas Litigation—Greatway commenced this proceeding alleging that ONE’s conduct in the Texas Litigation violated Sections 41102(c) and 41104(a) of the Shipping Act. ONE denies such alleged liability.

On June 11, 2021, BOE moved for leave to intervene in this proceeding.

On June 25, 2021, ONE appeared in this proceeding and filed its Verified Original Answer to Greatway’s Complaint on July 2, 2021.

¹ The Texas Litigation was the only time in its 4-year history that ONE brought suit under its bill of lading against an entity that was not identified thereon as either the shipper or consignee. The action was taken only after great deliberation about the unique facts and circumstances of underlying events.

III.
Argument and Authorities

a. Permissive intervention is not appropriate because BOE’s motion is explicitly contrary to Rule 68.

When determining a question of permissive intervention, the Presiding Officer must consider: (1) common issues of law or fact between the putative intervenor’s interest and the subject matter of the proceeding; (2) whether the intervention will unduly delay or broaden the scope of the proceeding; (3) whether the intervention will prejudice adjudication of the rights; (4) whether the intervention will be duplicative of the positions of an existing party; and (5) whether the participation of the intervenor is reasonably expected to assist in the development of a sound record. 46 C.F.R. §502.68(c)(2)(i). Governmental entities, such as BOE, may be permitted to intervene upon a showing “that its expertise is relevant to one or more issues involved in the proceeding and may assist in the consideration of those issues.” *Id.* at §502.68(c)(2)(ii). This, however, does not displace consideration of the general factors for permissive intervention listed above. BOE acknowledges this point by addressing some of the factors. Contrary to all logic, BOE argues its participation will not delay the proceeding, yet seeks to participate fully as a party in discovery and trial.

BOE argues the permissive intervention requirements should be interpreted liberally, citing *TransAtlantic Agreement and Its Members – Independent Action*, 27 S.R.R. 16, 17 (ALJ 1995)(“TAA”). In *TAA*, however, Judge Kline ***denied*** intervention on the ground that the would-be intervenor could file *amicus* briefs. Further, *TAA* involved a BOE investigation, where BOE

represents the public, which raises very different policy issues from a private complaint case, such as the instant proceeding.

BOE likewise contends the 2012 amendment of Rule 68 was intended to “further liberalize” the standard for permissive intervention. Yet, the amendment proscribes more specific standards for permissive intervention, which is hardly consistent with a liberalization of the application of the procedural rules. BOE fails to carry its specific burden under Rule 68(c)(2)(ii) and its motion is explicitly contrary to the general considerations of permissive intervention of Rule 68(c)(2)(i). As shown below, BOE’s motion does not survive the Rule 68 analysis and thus must be denied.

1. BOE’s full intervention will unduly expand the scope of this private complaint proceeding, substantially delay the proceeding, be unduly burdensome, and duplicative of Greatway’s position.

BOE concedes that its intervention would expand the scope of this proceeding “from a broader perspective than may be expected from the private litigants to the dispute.” See BOE Mtn. for Leave at 4. Such admission is flagrantly contrary to the standard for permissive intervention under Rule 68(c)(2)(i). 46 CFR §502.68(c)(2)(i) (requiring among other things, that permissive intervention would not broaden the scope of the proceeding). Moreover, BOE appears to assert that its participation is warranted, but *only if* Greatway’s allegations are proven and *only if* there are other entities which may exist in the same position as Greatway. Allowing BOE to intervene would expand the scope of this proceeding from Greatway’s particularized allegations arising from the Texas Litigation, into limitless scrutiny of ONE’s entire operations. BOE thus proposes not only to litigate Greatway’s claims, but also to effectively turn it into a wide-ranging investigation. This will not only delay the proceeding, but also be prejudicial to ONE.

BOE's stated position would also duplicate Greatway's position, as well as expand it to cover other supposed actions by ONE that do not exist. Allowing BOE to intervene would exponentially increase the burden of the proceeding and the time/expense necessary to complete it. ONE would be required to address two briefs on each disputed motion, which would require additional time to prepare. The time and burden for discovery would also be multiplied, as ONE would need to respond to discovery requests from both Greatway and BOE, and to take discovery from both parties. This burden and delay would be further exacerbated by BOE's stated intent to take discovery from a broader perspective than would be expected from the private litigants, which presumably relates to the entirety of ONE's operations.

If BOE's requested intervention is granted, it will be impossible to conduct discovery in the 150 day period contemplated by the Presiding Officer's Initial Order, let alone submit briefs and prepare for trial within the one year time frame proposed in the same Order. In light of these considerations, BOE should not be permitted leave to intervene, and its motion should be denied.

2. BOE's participation will not assist the determination of the issues involved in this proceeding because the Texas Litigation was an isolated and singular event.

Respectfully, BOE's argument that its participation would assist the Presiding Officer and ultimately the Commission in considering and determining the issues in this proceeding is also misplaced. BOE focuses solely on the alleged violation 46 U.S.C. § 41102(c), which requires, among other things, a showing that ONE's allegedly offending conduct occurs on "normal, customary, and continuous basis." 46 U.S.C. § 41102(c). BOE posits that its participation will assist the Presiding Officer in understanding the evolving nature of Commission precedent, citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, 2 F.M.C. 2d 168 (FMC 2020) and *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2 F.M.C. 2d 213 (ALJ 2020). Yet, the Initial Decisions in both of those proceedings were rendered by the Presiding

Officer in this case, who obviously needs no special tutoring on the issues. Review of BOE's cited authority further confirms that the application of the law to the facts of this case is not likely to be novel or complex; nor is it likely to lead to any imposition of liability.

For instance, in *Hangzhou Quianwang Dress Co., Ltd. v. RDD Freight International, Inc.*, the Commission affirmed this Presiding Officer's determination that the three instances of conduct at issue were not sufficient to satisfy the requisite "normal, customary, and continuous" element. Docket No. 17-02, Order Affirming Initial Decision on Remand at 5-6, 9, 13, 2020 FMC LEXIS 192 (Sept. 1, 2020). Likewise, in *Crocus Investments, LLC et al. v. Marine Transport Logistics, Inc. et al.*, this Presiding Officer found that two instances of conduct (one of which occurred approximately eight years prior to the complained-of conduct) did not satisfy the "normal, customary, and continuous" element. Docket No. 15-04, Initial Decision on Remand at 19-21, 2020 FMC LEXIS 238 (Dec. 9, 2020).

Here, the only conduct alleged to violate the Shipping Act in Greatway's complaint consists of a single litigation to collect unpaid charges on two bills of lading, delivered to the same destination, for the same consignee, a few weeks apart. This proceeding is not materially distinguishable from those proceedings cited by BOE, and neither BOE's expertise nor intervention will change that fact. As noted above, the Texas Litigation was the sole instance in which ONE commenced litigation seeking to enforce its bills of lading against contractors, servants, agents, trucking companies, or other persons acting on behalf of the shipper, consignee, receiver, holder of the bills of lading, or owner of the cargo, under the Merchant clause. Accordingly, BOE's intervention and requested participation in this case as a *de facto* complainant will not assist in developing the factual record or evaluating the alleged violations. BOE's motion to intervene should be denied.

b. BOE has never been permitted the sweeping intervention requested here.

BOE requests unusually intensive involvement in this proceeding “to include discovery, examination of witnesses, presentation of evidence, and submission of briefs.” This request goes well beyond the level of intervention that has previously been permitted by the Commission. Historically, in the relatively few instances where BOE has been allowed to intervene, its participation has generally been limited to submitting briefs on legal issues. *See, e.g., XM International Inc. v. Brilliant Logistics Group, Inc.*, Docket No. 03-02, 29 S.R.R. 1491 (2003) (intervention limited to addressing legal issues without discovery); *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, Docket No. 94-01, 1997 FMC LEXIS 32 (Oct. 10, 1997) (BOE intervention permitted for limited purpose of addressing legal issues); *Spark Int’l Trading, Inc. v. Danzas Corp.*, Docket No. 94-12, 27 S.R.R. 239 (ALJ 1995) (Hearing Counsel (predecessor to BOE) intervention permitted on certain issues concerning fiduciary duties only); *see also R.O. White Co. v. Port of Miami Terminal Operating Co.*, Docket No. 06-11, 2009 FMC Lexis 31 (July 28, 2009) (BOE was denied intervention, but allowed to file briefs as an *amicus*). In short, ONE has found no Commission proceeding, using both Lexis and the SRR Digest, where the scope of BOE’s intervention included conducting discovery or presenting evidence.

As shown above, there is no basis to permit BOE’s intervention in this proceeding. Nevertheless, if the Presiding Officer determines that BOE should be permitted some degree of involvement, ONE submits that it would be best effectuated by permitting BOE to file *amicus* briefs on appropriate legal issues pursuant to Rule 73. 46 CFR §502.73. The Presiding Officer should not permit BOE to conduct discovery, cross examine witnesses, or present evidence in support of Greatway’s complaint.

**IV.
Conclusion**

For the foregoing reasons, the Presiding Officer should deny BOE's Motion for Leave to Intervene in full. Alternatively, if BOE is to be permitted to intervene, the scope of the intervention should be limited to submitting briefs on appropriate legal issues which may arise during the proceeding.

DATED: July 30, 2021

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 30th day of July, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with 46 CFR Part 502.

/s/ Andrew R. Nash
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